

ECONOMICS PAPER 1

(Mock Test 31)

Time allowed: 1 hour

INSTRUCTIONS

1. Read carefully the instructions on the Answer Sheet. After the announcement of the start of the examination, you should first stick a barcode label and insert the information required in the spaces provided. No extra time will be given for sticking on the barcode label after the 'Time is up' announcement.
2. When told to open this book, you should check that all the questions are there. Look for the words '**END OF PAPER**' after the last question.
3. All questions carry equal marks.
4. **ANSWER ALL QUESTIONS.** You are advised to use an HB pencil to mark all the answers on the Answer Sheet, so that wrong answers can be completely erased with a clean rubber. You must mark the answers clearly; otherwise you will lose marks if the answers cannot be captured.
5. You should mark only **ONE** answer for each question. If you mark more than one answer, you will receive **NO MARKS** for that question.
6. No marks will be deducted for wrong answers.

Not to be taken away before the end of the examination session

There are 45 questions in this paper. Choose the **BEST** answer for each question.

1. Mr. Cheung is considering renting out his residential unit in a private housing estate. Which of the following would increase the cost of renting out the unit?



- A. The management fee borne by Mr. Cheung increases.
B. The average rent of residential units in the same housing estate increases.
C. The government raises the property tax rate.
D. The market price of residential units decreases.
2. Suppose Kevin lent a new smartphone to his brother. His brother promised to return the smartphone along with a smartphone case to Kevin one month later. The smartphone case can be regarded as
- (1) a free good to Kevin.
(2) the cost of using the smartphone to Kevin's brother.
(3) interest to Kevin.
(4) interest to Kevin's brother.
- A. (1) and (2) only
B. (3) and (4) only
C. (1), (2) and (3) only
D. (2), (3) and (4) only
3. Miss Lee runs a self-service bakery store. Customers can make cakes in the store and can use the ingredients and baking equipment provided by the store.
- Miss Lee has the right to _____ while customers of the store have the right to _____.
- A. sell the ingredients for income ... take away the ingredients to make cakes at home later
B. use the baking equipment to make cakes of different flavours ... sell the ingredients for income
C. transfer the store for income ... lease the baking equipment to others for income
D. hold a baking class in the store for income ... use the baking equipment in the store to make cakes for their friends

4. The following table shows information about two firms in Hong Kong.

	Firm A	Firm B
Number of owners	30	30
Continuity	If one of the owners goes bankrupt, the firm continues to exist	If one of the owners goes bankrupt, the firm has to be dissolved
Disclosure of accounting information	Required to disclose to the public	Not required to disclose to the public

Based on the above information, which of the following statements about the above firms is **CORRECT**?

- A. Neither firm can issue shares or bonds to the public.
 - B. Both firms pay the same profits tax rate.
 - C. Firm A requires the consent of other shareholders to transfer ownership, while firm B does not.
 - D. Firm A has an independent legal status while firm B does not.
5. The fan club of a popular singer launched a free ice cream giveaway. Ice cream trucks displaying the portrait of the idol will distribute free ice cream to people at designated time slots and locations. The ice cream will be distributed on a first-come-first-served basis, while stocks last.

This free ice cream is _____ because _____.

- A. a free good ... the public do not need to pay for it
 - B. an economic good ... it can be used to produce other goods and services
 - C. a private good ... it is rival in consumption
 - D. a public good ... it is non-excludable in consumption
6. Mr. Lee is the owner of a coffee shop. He bought various coffee brewing tools for the shop and was responsible for all duties in the shop, including taking orders from customers, making coffee, operating the cash register, etc. Recently, he has hired an employee to assist with serving customers and cashier duties, while he specialises in making coffee.

Which of the following statements are **CORRECT**?

- (1) Mr. Lee can save on production tools purchased for the coffee shop.
 - (2) Mr. Lee can save the time spent on switching tasks.
 - (3) Mr. Lee's income includes profit and interest.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

7. Refer to the following information.

	Factory A	Factory B
Number of workers	8	10
Number of working hours per worker	25	20
Total output (units)	1,000	800

Which of the following is a possible reason for the difference between the average labour productivity of factory A and factory B?

- A. Factory A adopts a time rate scheme while factory B adopts a piece rate scheme.
- B. Factory B provides more training to workers.
- C. Factory B's working environment is better.
- D. Factory A uses more advanced capital goods.

8. If _____, Hong Kong's _____ will increase.

- A. more young people choose to continue their studies after graduating from university ... geographical mobility of labour
- B. the government constructs a new railway ... occupational mobility of labour
- C. the government cancels the annual quota of the Quality Migrant Admission Scheme ... average labour productivity
- D. there is an increase in the number of public holidays ... supply of labour

9. The table below shows the input-output relationship of a firm.

Machinery (units)	5	5	5	5	5
Labour (units)	1	2	3	4	5
Total product (units)	20	60	114	156	X

Diminishing marginal returns sets in when the 4th unit of labour is employed. The average product of 5 units of labour may be _____ units.

- A. 39
- B. 40
- C. 41
- D. 42

10. The table below shows the cost-output relationship of a price taker.

Output (units)	Total cost (\$)
0	5
1	10
2	22
3	36
4	52
5	70

If the market price of the good is \$14, which of the following statements are **CORRECT**?

- (1) At the profit-maximising output level, the total producer surplus is \$11.
- (2) At the profit-maximising output level, the profit is \$6.
- (3) The law of diminishing marginal returns applies to the firm.
- (4) The firm operates in the long run.

- A. (1) and (2) only
- B. (1) and (4) only
- C. (1), (2) and (3) only
- D. (2), (3) and (4) only

11. Sushiro, a Japanese sushi restaurant chain, has opened a izakaya restaurant (居酒屋) known as Sugidama in Hong Kong. This expansion

- (1) extends its brand name to other markets.
- (2) reduces competition.
- (3) helps spread business risk.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

12. Assume consumers' preferences regarding Japanese eggs are similar in Japan and Hong Kong. The table below shows the quantities of high-quality and average-quality Japanese eggs sold in Japan and Hong Kong.

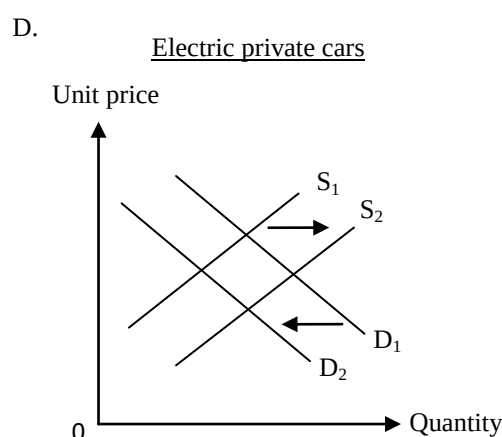
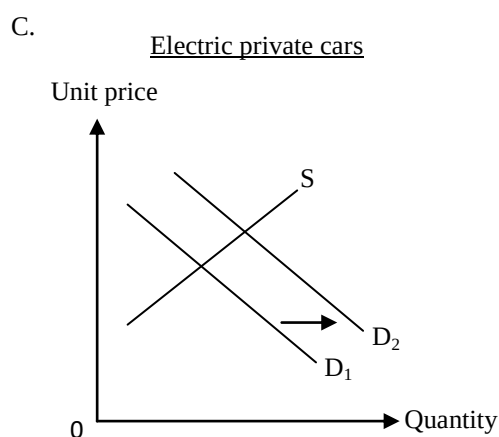
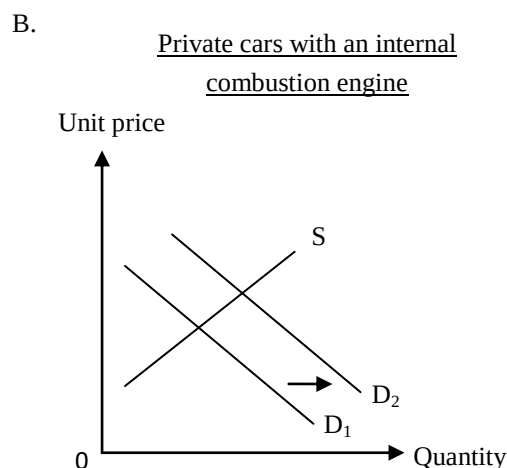
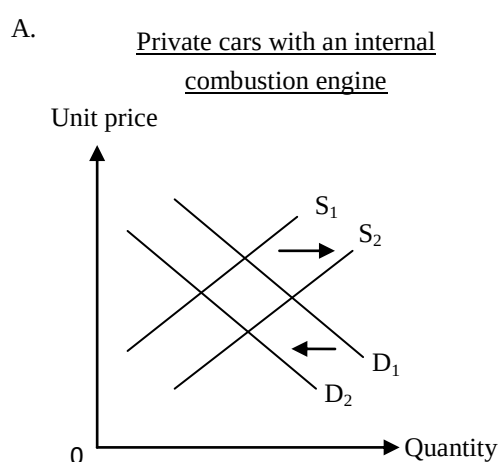
	High-quality Japanese eggs (units)	Average-quality Japanese eggs (units)
Japan	1,000	2,200
Hong Kong	Q_1	Q_2

Suppose the cost of transporting either type of eggs from Japan to Hong Kong is the same. Which of the following figures is/are **INCONSISTENT** with the law of demand?

- (1) $Q_1 = 200$; $Q_2 = 450$
- (2) $Q_1 = 200$; $Q_2 = 500$
- (3) $Q_1 = 400$; $Q_2 = 850$

- A. (1) only
- B. (3) only
- C. (1) and (2) only
- D. (2) and (3) only

13. Which of the following would most likely lead to a reduction in the supply of hotel services in Hong Kong?
- The Hong Kong government distributes free air tickets for flights to Hong Kong to foreign tourists.
 - More applications for converting hotels into residential premises are approved.
 - The government provides more subsidies for training programmes in the hotel industry.
 - The average price of hotel services decreases.
14. A country imports red wine, which includes high-quality red wine and low-quality red wine. Which of the following will cause consumers' expenditure on imported low-quality red wine to decrease?
- The transportation cost that consumers pay for each bottle of wine imported decreases.
 - A ship carrying a large quantity of high-quality red wine sinks.
 - A ship carrying a large quantity of low-quality red wine sinks.
 - Low-quality red wine is an inferior good and people's income generally increases.
15. The government implements a 'One-for-One Replacement' scheme from 28 February 2018 to 31 March 2024. Under the scheme, eligible private car owners can arrange to scrap and de-register their own old private car (private car with an internal combustion engine or electric private car) and then first register a new electric private car under their own name. The owners can enjoy a higher first registration tax concession. Which of the following represents the above situation?

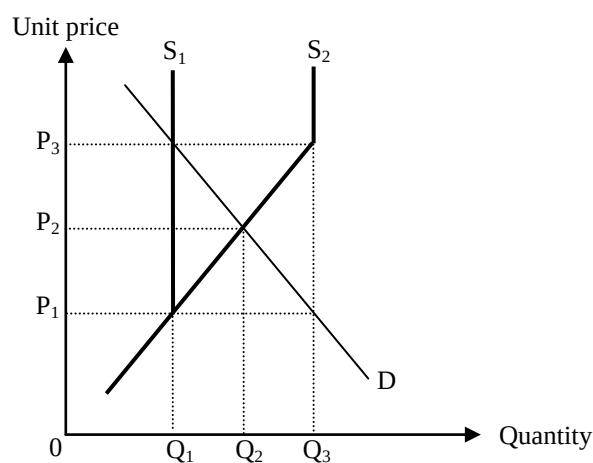


16. After the government imposes a per-unit tax on good X, the total tax revenue is \$300 and consumers' tax burden is \$100. Which of the following combinations of price elasticity of demand and price elasticity of supply may lead to the above result?

- (1) elastic demand; elastic supply
- (2) elastic demand; inelastic supply
- (3) inelastic demand; elastic supply
- (4) inelastic demand; inelastic supply

- A. (2) only
- B. (1) and (4) only
- C. (2) and (3) only
- D. (1), (2) and (4) only

17. Refer to the following demand-supply diagram for good X.

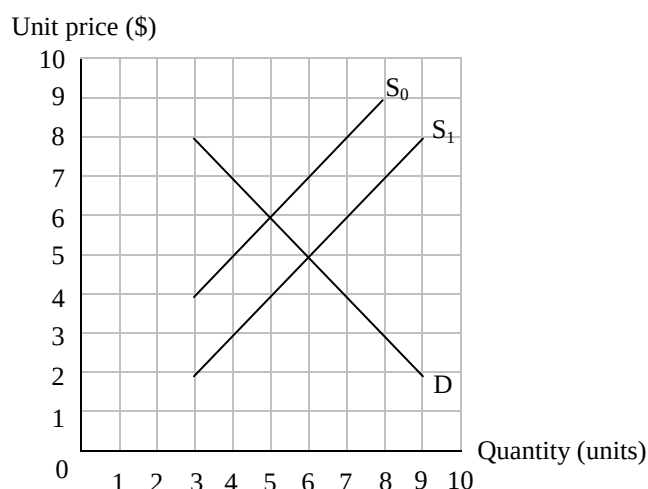


If the government increases the quota limit from Q_1 to Q_3 ,

- (1) the market price of good X will increase to P_3 .
- (2) consumers' total expenditure on good X will be $(P_2 \times Q_2)$.
- (3) there will be an excess supply of good X.

- A. (1) only
- B. (2) only
- C. (1) and (3) only
- D. (2) and (3) only

18. Refer to the following demand-supply diagram of good X. S_0 and S_1 are the supply curves before and after the government's provision of a per-unit subsidy respectively.



Which of the following statements about the above situation are **CORRECT**?

- (1) The government provides a per-unit subsidy of \$2 to producers of good X.
- (2) Within the range of the original and new prices, demand is inelastic.
- (3) The total amount of subsidy is \$12.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

19. The market structure of wedding photography services in Hong Kong can be regarded as

- A. oligopoly because wedding photography companies can charge their own prices.
- B. oligopoly because wedding photography companies engage in non-price competition.
- C. monopolistic competition because wedding photography companies are interdependent in their pricing strategies.
- D. monopolistic competition because photography companies provide different wedding photography services.

20. The following table shows the marginal benefit schedule of a coffee consumer.

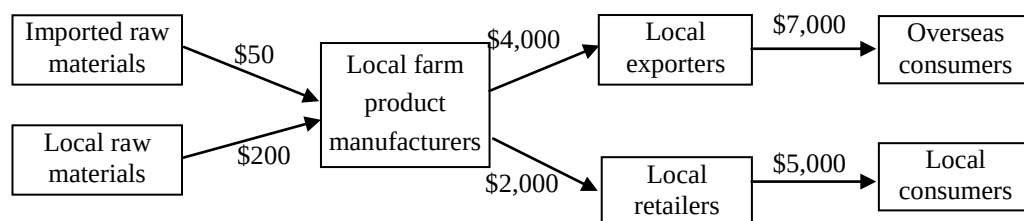
Quantity (units)	Marginal benefit (\$)
1	20
2	19
3	18
4	17
5	16
6	15

If the price of coffee increases from \$17 to \$18, the consumer surplus will _____.

- A. increase by \$1
- B. increase by \$3
- C. decrease by \$1
- D. decrease by \$3

21. The government has set an effective price ceiling on good X. Suppose the price of substitutes for good X decreases. At the same time, the government raises the price ceiling on good X, which remains effective. In the market of good X,
- (1) the producer surplus will increase.
 - (2) the quantity transacted will increase.
 - (3) the deadweight loss will increase.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)
22. Which of the following is **NOT** an example of the divergence between private and social costs?
- A. The police block several traffic lanes because of a traffic accident caused by a drunk driver.
 - B. The fruits and vegetables grown by a house owner attract birds, whose excrement dirties the neighbour's garden.
 - C. An audience member makes loud noises while watching a movie in a cinema.
 - D. A construction company pays a farmland owner for permission to dump construction waste on the farmland.
23. Which of the following proposals will reduce the Gini coefficient based on post-tax post-social transfer monthly household income in Hong Kong?
- (1) increasing the charge on plastic shopping bags
 - (2) increasing the marginal tax rates for the salaries tax
 - (3) waiving the rent for the elderly living in public rental housing units
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

24. The following diagram shows a production chain of farm products in Country A.



Suppose the above production chain has included a subsidy of \$800 that is given to local farm product manufacturers. The contribution of local farm product manufacturers to Country A's GDP at factor cost is _____.

- A. \$4,950
- B. \$6,550
- C. \$12,750
- D. \$13,550

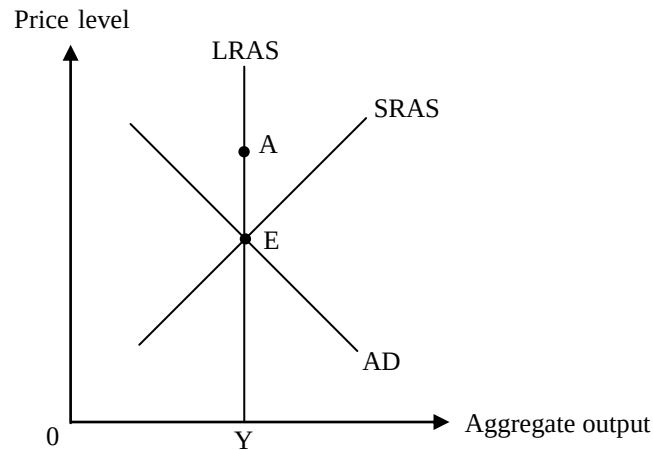
25. Consider the following statistical data about Country A.

	20X1	20X2
Change in nominal GDP	–5 %	–2 %
Change in real GDP	1 %	1 %
Change in population size	0 %	–3 %

Which of the following statements about Country A is/are **CORRECT**?

- (1) Per capita nominal GDP increased in 20X2.
 - (2) Real GDP in 20X2 remained unchanged.
 - (3) The general price level decreased in 20X2.
- A. (1) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)
26. Billy is a professor from South Korea. He was invited to teach a six-month course at a university in Hong Kong and received a salary of \$100,000. He then returned to South Korea. The income from the course was \$80,000. Organising the above course would lead to _____ in Hong Kong's GDP and _____ in Hong Kong's GNI.
- A. an increase ... an increase
 - B. an increase ... a decrease
 - C. a decrease ... an increase
 - D. a decrease ... a decrease
27. Which of the following measures may lead to an increase in Hong Kong's aggregate output but at the same time worsen income inequality?
- A. reducing the standard rate of the salaries tax
 - B. tightening the eligibility for the Comprehensive Social Security Assistance Scheme
 - C. increasing the amount of health care vouchers distributed to eligible elderly persons
 - D. distributing consumption vouchers to all residents
28. Free Lunch at Schools is a regular government assistance programme that provides free lunch at schools for primary students from low-income families. Participating schools are provided with funding for lunches for their eligible students by the Education Bureau. Which of the following statements about the programme is/are **CORRECT**?
- (1) The programme will help improve equity.
 - (2) The programme will lead to an increase in aggregate demand in Hong Kong.
 - (3) The government spending on the programme will not be included in the calculation of Hong Kong's GDP.
 - (4) The programme will lead to a fiscal deficit.
- A. (1) only
 - B. (1) and (2) only
 - C. (2) and (3) only
 - D. (2), (3) and (4) only

29. Refer to the following diagram.



The initial equilibrium point of Country A is at E. If the new long run equilibrium point is at A, which of the following is a possible reason for the change in the equilibrium point?

- A. A large number of factories are temporarily closed due to a labour strike.
- B. The central bank prints more money.
- C. The stock market in Country A's largest export market declines.
- D. The transportation cost for raw materials decreases.

30. A few universities plan to build additional teaching and research facilities. For example, the Faculty of Medicine of the University of Hong Kong plans to build a new teaching building in Pok Fu Lam. The estimated cost of the project is more than \$1 billion and it is expected to be completed in 2028. Which of the following statements about the construction of the new teaching and research facilities are **CORRECT**?

- (1) During the construction period, the unemployed population will decrease.
- (2) In the short run, aggregate output will increase.
- (3) In the long run, the price level will increase.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

31. Initially an economy operates at the long run equilibrium. Which of the following will result in an inflationary (output) gap?

- A. The domestic currency depreciates.
- B. The government tightens the regulations on disposal of construction waste.
- C. The government increases the profits tax rate.
- D. The government increases the quota for importing overseas labour.

32. Refer to the following advertisement for a magazine.

Subscription Plan One-year subscription fee: \$240 (Original fee: \$360)
--

If a customer purchases the magazine at the one-year subscription discount price, which of the following functions does money perform in this payment?

- (1) medium of exchange
 - (2) unit of account
 - (3) store of value
 - (4) standard of deferred payment
- A. (1) and (2) only
- B. (3) and (4) only
- C. (1), (2) and (3) only
- D. All of the above.
33. Josie won \$100,000 cash from a competition. She plans to deposit the money in a financial institution as a demand deposit for three months. Which of the following financial institutions in Hong Kong can accept her deposit?
- (1) licensed banks
 - (2) restricted licence banks
 - (3) deposit-taking companies
- A. (1) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)
34. Which of the following transactions would decrease the money supply M1 of Hong Kong?
- A. Mr. Cheng withdraws \$5,000 from his current account with a licensed bank and holds the amount as cash.
 - B. Ms. Chan deposits \$5,000 cash into her savings account with a licensed bank.
 - C. Mr. Chau transfers \$5,000 from his time deposit account with a licensed bank to his current account with the same bank.
 - D. Ms. Wong withdraws \$5,000 from her time deposit account with a deposit-taking company and remits it overseas.

35. The following table shows the balance sheet of the banking system of a country. The monetary base of the country is \$700. The banks hold excess reserves of \$100.

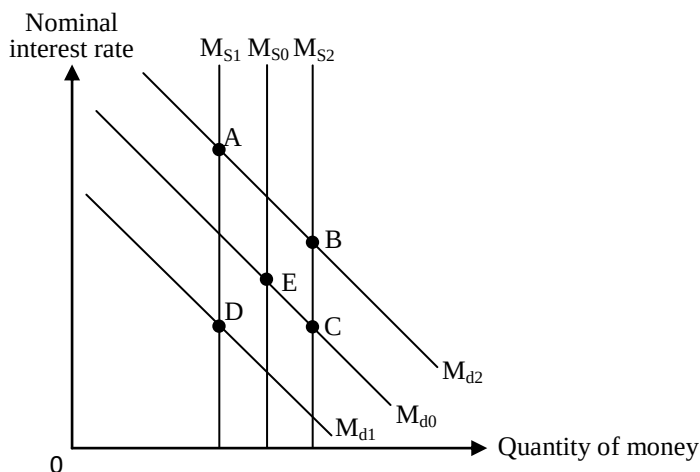
Assets (\$)		Liabilities (\$)	
Reserves	500	Deposits	2,000
Loans	1,500		

Suppose the public deposit \$100 cash into the banking system. If the banks lend out all of their excess reserves, which of the following statements is/are **CORRECT**?

- (1) The deposits will increase by \$1,000.
- (2) The loans will increase by \$300.
- (3) The money supply will be \$3,100.

- A. (1) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

36. The diagram below shows the money demand and money supply curves of an economy. The original equilibrium point is at E.



Suppose the bonds issued in the economy are at risk of default, which weakens people's confidence in holding the bonds. At the same time, the central bank raises the required reserve ratio. The new equilibrium point will be at _____.

- A. A
- B. B
- C. C
- D. D

37. Which of the following statements about the quantity theory of money is **CORRECT**?

- A. When real output is increasing, increasing the money supply will cause the price level to fall.
- B. When real output grows faster than the money supply, the price level will fall.
- C. When the price level increases, the money supply will increase by the same percentage.
- D. When the velocity of circulation of money remains constant, a decrease in the money supply will lead to an increase in real output.

38. In times of inflation, suppose the nominal interest rate of a fixed-interest bond is higher than the expected inflation rate. If the expected inflation rate is higher than the actual inflation rate,
- the real rate of return on holding cash will be greater than the nominal rate of return on holding cash.
 - the nominal rate of return on holding cash will be greater than zero.
 - the expected real interest rate will be lower than the actual real interest rate.
 - the cost of holding cash will decrease.

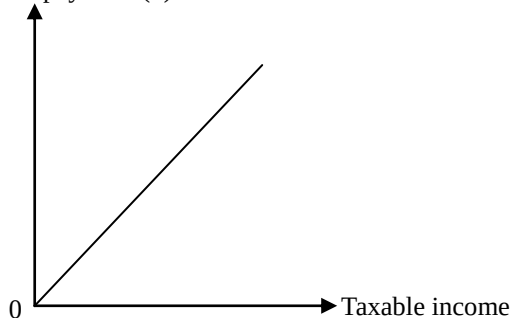
39. Suppose the unemployment rate of an economy is 5%. Which of the following would lower the unemployment rate?

- Some graduates who studied abroad return to the economy to find a job and 3% of them fail to find one.
- Some workers who have been unemployed for a long time emigrate to other countries.
- Some retirees return to work.

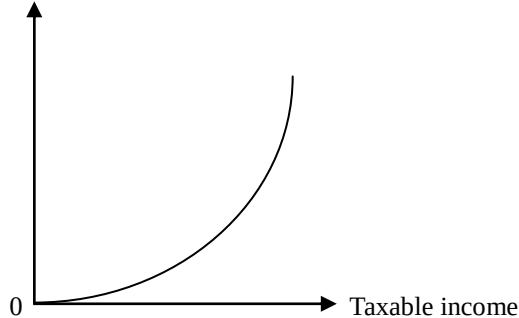
- (1) and (2) only
- (1) and (3) only
- (2) and (3) only
- (1), (2) and (3)

40. Which of the following diagrams shows a tax system that results in a more even income distribution?

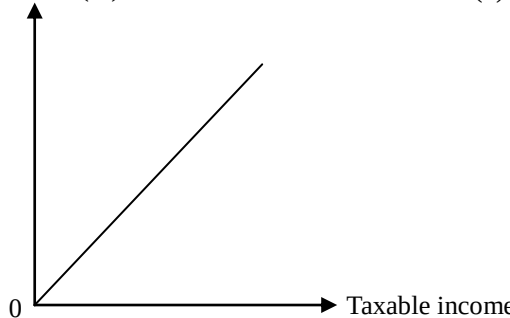
(1) Tax payment (\$)



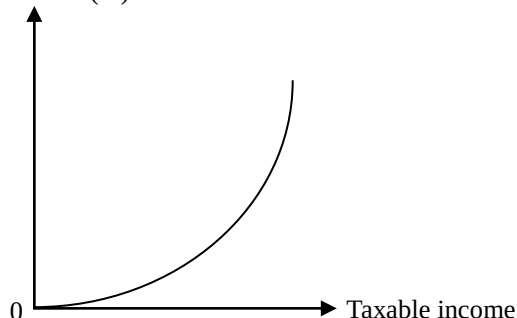
(2) Tax payment (\$)



(3) Tax rate (%)



(4) Tax rate (%)



- (1) and (4) only
- (2) and (3) only
- (2), (3) and (4) only
- All of the above.

41. Firms in an economy generally were pessimistic about their business prospects and decreased investment. At the same time, the central bank of the economy sold government bonds in the open market, which affected the economy's output level and interest rate.

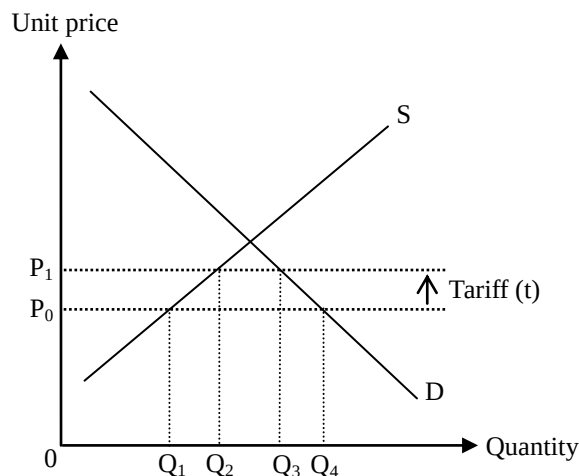
Which of the following policies can stabilise the economy's output level and interest rate at the same time in the short run?

- A. The government raises the discount rate.
 - B. The government raises the profits tax rate.
 - C. The government issues more licenses for electronic payment tools.
 - D. The government lowers the income tax rate.
42. Before international trade, Country A and Country B each divides all their resources equally between production of good X and production of good Y. The output of the two countries is as follows:

	Good X (units)		Good Y (units)
Country A	20	AND	80
Country B	30	AND	40

If both countries completely specialise their production and trade with each other, the total output of good X will _____ while the total output of good Y will _____.

- A. increase by 10 units ... increase by 10 units
 - B. increase by 10 units ... increase by 40 units
 - C. increase by 40 units ... decrease by 10 units
 - D. increase by 10 units ... decrease by 40 units
43. The following diagram shows the imposition of a tariff on good X in a small open economy.



P_0 is the world price of good X. Which of the following statements about good X is **CORRECT**?

- A. The import volume after the tariff is $(Q_4 - Q_1)$.
- B. If the tariff is reduced, domestic production of good X will be higher than Q_2 .
- C. If the world price of good X decreases, the government's tariff revenue will be higher than $(Q_3 - Q_2) \times t$.
- D. If the tariff is raised, the excess demand for good X will be less than $(Q_3 - Q_2)$.

44. The following table shows some information about the balance of payments of Country A.

Item	\$ million
Visible trade balance	200
Invisible trade balance	250
Net factor income from abroad	25
Net current transfers	-70
Change in reserve assets	100

Based on the above data, which of the following statements is **CORRECT**?

- A. The country's gross domestic product is greater than its gross national income.
- B. The current account surplus is \$505 million.
- C. The capital and financial account is in deficit.
- D. The balance of payments is in deficit.

45. Refer to the following table.

	Exchange rate
1 January 2022	HKD 1 = JPY 14.76
1 January 2023	HKD 1 = JPY 16.79

On 1 January 2022, Mr. Wong exchanged \$5,000 Hong Kong dollars (HKD) for Japanese yen (JPY) and deposited the sum into a bank and earned an annual interest rate of 1%. He withdrew the sum on 1 January 2023 and exchanged it back into Hong Kong dollars.

From the above transactions, Mr. Wong _____.

- A. lost about HKD 561
- B. lost about HKD 605
- C. gained about HKD 561
- D. gained about HKD 605

END OF PAPER